

Soitec

F1Q preview: Photonics upside priced in; Lower PO

Reiterate Rating: NEUTRAL | PO: 138.00 EUR | Price: 118.40 EUR

Photonics growing but expectations are elevated; Neutral

Soitec reports F1Q revenue on July 28th. We believe there is downside risk to css estimates for both Mobile, given the weak smartphone market, and Edge AI, given the high implied Photonics-SOI growth. However, we expect the overall business to recover from its FY26 earnings trough. We raise FY27-29E Edge AI but lower Mobile and Auto/Industrial ests, lowering EBITDA. Reit. Neutral with lower €138 PO (was €193) on updated SOTP valuation.

Street is projecting Photonics-SOI growing above industry

We view Soitec's Photonics-related upside as priced in, with Edge and Cloud AI (of which Photonics-SOI was 42% in FY26) forecasted to grow by css at 28%/34%/43% in FY27/28/29E. This would imply Photonics revenue growth significantly higher than the 50% CAGR for FY26-29E that we model, which is based on Photonics-SOI total die area CAGR forecasts. For context, our global team projects 40%+ total optical revenue growth CAGR in data centers. Given various uncertainties including amount of NPO/CPO content growth, we lack conviction in further Photonics revenue revisions.

Uncertainties remain on Photonics growth assumptions

With questions on various Photonics-SOI content assumptions hard to answer, it is difficult to project its revenue growth CAGR. Yields, transceiver speeds, changing optical engine requirements PIC sizes, NPO/CPO ramp timelines and associated content growth all present various headwinds and tailwinds to Photonics-SOI growth. We believe the implied css Photonics-SOI growth rate already prices in growth acceleration from NPO/CPO which we view to still be uncertain given the different moving parts. Finally, GlobalWafers' planned ramp in Photonics/RF-SOI has not been derisked, introducing questions on Soitec's market share position going forward.

Mobile recovering but at slow pace on phone price hikes

Mobile was more than half of FY26 revenue, and given announced price hikes by smartphone-makers, we believe there is downside to css FY27E decline of 6% in Mobile revenue (we model 11% decline). RF-SOI revenue continues to be significantly impacted by elevated customer inventories, sitting at ~2mm wafers with a slowing pace of digestion due to the weak end-market. We model 19%/27% growth in Mobile in FY28/29E, reflecting gradual customer inventory digestion.

Estimates (Mar) (EUR)	2025A	2026A	2027E	2028E	2029E
EPS (Adjusted Diluted)	2.54	(6.17)	(0.17)	1.78	3.82
EPS Change (YoY)	-46.3%	-343.1%	97.3%	NM	114.8%
Consensus EPS (Visible Alpha)			(0.14)	2.00	4.62
Valuation (Mar)					
P/E	46.7x	NM	NM	66.6x	31.0x
EV / EBITDA*	14.1x	27.9x	26.0x	17.0x	12.5x
Free Cash Flow Yield*	0.05%	1.75%	1.80%	4.06%	2.43%

* For full definitions of *IQmethod*SM measures, see page 7.

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Refer to important disclosures on page 8 to 10. Analyst Certification on page 6. Price Objective Basis/Risk on page 6.

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07 July 2026

Equity

Key Changes

(EUR)	Previous	Current
Price Obj.	193.00	138.00
2027E Rev (m)	624.5	604.1
2028E Rev (m)	780.6	741.9
2029E Rev (m)	1,033.1	955.6
2027E EPS	0.31	-0.17
2028E EPS	2.26	1.78
2029E EPS	4.88	3.82

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Stock Data

Price	118.40 EUR
Price Objective	138.00 EUR
Date Established	07-Jul-2026
Investment Opinion	C-2-9
52-Week Range	22.62 EUR-200.50 EUR
Mkt Val / Shares Out (mn)	4,224 EUR / 35.7
Average Daily Value (mn)	64.76 USD
Free Float	69.5%
BofA Ticker / Exchange	SLOIF / ENP
Bloomberg / Reuters	SOIFP / SOIT.PA
ROE (2027E)	-0.4%
Net Dbt to Eqty (Mar2026A)	4.4%

AI: Artificial intelligence

CPO: Co-packaged optics

NPO: Near packaged optics

PIC: Photonic integrated circuit

RF: Radio frequency

SOI: Silicon on insulator

SOTP: Sum of the parts

css: consensus

iQprofileSM Soitec

Key Income Statement Data (Mar)	2025A	2026A	2027E	2028E	2029E
(EUR Millions)					
Sales	891	592	604	742	956
EBITDA Adjusted	298	151	162	248	337
Depreciation & Amortization	(140)	(138)	(140)	(146)	(155)
EBIT Adjusted	158	13.0	22.0	102	182
Net Interest & Other Income	(9.00)	(30.0)	(8.97)	(6.62)	(0.87)
Tax Expense / Benefit	(19.0)	(61.0)	1.05	(11.2)	(24.2)
Net Income (Adjusted)	91.0	(220)	(5.95)	63.7	137
Average Fully Diluted Shares Outstanding	35.9	35.7	35.8	35.9	36.0

Key Cash Flow Statement Data					
Net Income (Reported)	92.0	(222)	(5.95)	63.7	137
Depreciation & Amortization	140	138	140	146	155
Change in Working Capital	(100)	50.0	39.0	38.3	(120)
Deferred Taxation Charge	0	0	0	0	0
Other CFO	69.0	236	27.9	37.9	45.1
Cash Flow from Operations	201	202	201	286	218
Capital Expenditure	(199)	(128)	(125)	(115)	(115)
(Acquisition) / Disposal of Investments	4.00	0	0	0	0
Other CFI	19.0	14.0	0	0	0
Cash Flow from Investing	(176)	(114)	(125)	(115)	(115)
Share Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	NA	NA	NA	NA	NA
Increase (decrease) debt	34.0	(161)	0	0	0
Other CFF	(84.0)	(43.0)	(8.97)	(6.62)	(0.87)
Cash Flow from Financing	(50.0)	(204)	(8.97)	(6.62)	(0.87)
Total Cash Flow (CFO + CFI + CFF)	(25.0)	(116)	67.0	165	102
FX and other changes to cash	5.00	(10.0)	(0.01)	(0.32)	0
Change in Cash	(20.0)	(126)	67.0	164	102
Change in Net Debt	54.0	(35.0)	(67.0)	(164)	(102)
Net Debt	93.0	58.0	(8.98)	(173)	(275)

Key Balance Sheet Data					
Property, Plant & Equipment	1,003	893	853	797	732
Goodwill	NA	NA	NA	NA	NA
Other Intangibles	130	94.0	119	144	169
Other Non-Current Assets	162	68.0	68.0	68.0	68.0
Trade Receivables	463	280	234	244	314
Cash & Equivalents	688	562	629	793	895
Other Current Assets	362	383	434	397	448
Total Assets	2,808	2,280	2,336	2,443	2,626
Long-Term Debt	375	517	517	517	517
Other Non-Current Liabilities	94.0	122	122	122	122
Short-Term Debt	406	103	103	103	103
Other Current Liabilities	338	213	255	279	304
Total Liabilities	1,213	955	997	1,021	1,046
Total Equity	1,594	1,327	1,341	1,425	1,582
Total Equity & Liabilities	2,807	2,282	2,338	2,445	2,628

Business Performance*					
Return On Capital Employed	6.12%	1.03%	1.71%	4.95%	7.97%
Return On Equity	5.89%	-15.1%	-0.45%	4.61%	9.14%
Operating Margin	13.5%	-22.1%	0.33%	11.0%	17.0%
Free Cash Flow (MM)	2.00	74.0	76.0	171	103

Quality of Earnings*					
Cash Realization Ratio	2.21x	NM	NM	4.49x	1.58x
Asset Replacement Ratio	1.42x	0.93x	0.89x	0.79x	0.74x
Tax Rate	17.1%	NM	15.0%	15.0%	15.0%
Net Debt/Equity	5.83%	4.37%	-0.67%	-12.2%	-17.4%
Interest Cover	5.64x	0.30x	0.77x	3.55x	6.37x

* For full definitions of iQmethodSM measures, see page 7.

Company Sector

Semiconductors

Company Description

Soitec designs and manufactures semiconductor substrates, predominantly based on silicon on insulator (SOI) technologies. Soitec has recently been diversifying into technologies such as POI, SiC and GaN. Soitec's products are key enablers and beneficiaries of many fast growing trends such as 5G communications, vehicle electrification, silicon photonics, 3D sensing and increasing demand for low power/cost processing power. Soitec is listed on Euronext Paris and is headquartered in Bernin, France.

Investment Rationale

Soitec is a leader in silicon on insulator (SOI) substrates. Recently, Soitec has moved into new areas, such as gallium nitride (GaN) & piezoelectric on insulator (POI), with silicon carbide (SiC) in development. Soitec's products are key enablers & beneficiaries of many fast-growing trends, such as optical connectivity and 5G communications. However, we still lack visibility on when customer inventory digestion will end and tariff overhang on consumer (PC/Smartphone) demand may clear.

Stock Data

Price to Book Value 3.1x

Half-yearly Earnings Estimates

	2026	2027
H1	0A	-0.36E
H2	0A	0.20E



Bottom-up forecast

Exhibit 1: We project 23%/29% revenue growth in FY28/29E driven by Photonics-SOI growth and RF-SOI recovery

Soitec bottom-up revenue build, FY26-29E

EUR mm	FY26E	FY27E	FY28E	FY29E
Mobile Comm.	309	276	327	415
RF-SOI	169	119	149	214
FD-SOI	39	43	48	52
POI	101	114	130	149
Auto & Ind.	69	69	78	89
Power-SOI	59	59	65	71
FD-SOI	6	6	6	7
SmartSiC	5	5	8	11
Edge & Cloud AI	214	259	337	451
Photonics-SOI	90	135	202	304
FD-SOI	100	110	121	133
PD-SOI	14	14	14	14
Other	10	0	0	0
Total	592	605	743	955
Total yoy %	-34%	2%	23%	29%

Source: BofA Global Research estimates

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Changes to estimates

Exhibit 2: We lower our FY27-29E topline ests by 3-8%, resulting in 9-14% decrease in EBITDA

Soitec Changes to estimates, FY27-29E

EUR millions except per share data	FY27E			FY28E			FY29E		
	Old	New	% chg	Old	New	% chg	Old	New	% chg
Sales	624.5	604.1	-3.3%	780.6	741.9	-5.0%	1,033.1	955.6	-7.5%
YoY growth (%)	5.5%	2.0%	-344 bps	25.0%	22.8%	-220 bps	32.3%	28.8%	-354 bps
Lfl. growth (%) (at Constant Scope & FX)	5.5%	2.0%	-344 bps	25.0%	22.8%	-220 bps	32.3%	28.8%	-354 bps
FX effect	0.0%	0.0%	-	0.0%	0.0%	-	0.0%	0.0%	-
Gross profit	143.9	119.8	-16.8%	234.2	207.7	-11.3%	361.6	305.8	-15.4%
margin (%)	23.0%	19.8%	-322 bps	30.0%	28.0%	-200 bps	35.0%	32.0%	-300 bps
EBITDA (Continuing operations)	188.1	162.0	-13.9%	274.9	248.0	-9.8%	389.2	337.0	-13.4%
margin (%)	30.1%	26.8%	-332 bps	35.2%	33.4%	-178 bps	37.7%	35.3%	-240 bps
Operating income (EBIT)	22.1	2.0	-91.1%	101.5	81.6	-19.6%	206.6	162.4	-21.4%
margin (%)	3.5%	0.3%	-322 bps	13.0%	11.0%	-200 bps	20.0%	17.0%	-300 bps
Net Profit (Group)	11.2	-5.9	-153.2%	81.0	63.7	-21.3%	175.5	137.3	-21.8%
Net Margin (%)	2%	-1.0%	-153.2%	10%	9%	-21.3%	17%	14%	-21.8%
Basic EPS (calculated)	0.31	-0.17	-153.2%	2.27	1.79	-21.3%	4.92	3.85	-21.8%
Diluted EPS (calculated)	0.31	-0.17	-153.2%	2.26	1.78	-21.3%	4.88	3.82	-21.8%
Operating Exp.	-121.8	-117.8	-3.3%	-132.7	-126.1	-5.0%	-155.0	-143.3	-7.5%
Net Debt (Cash)	-22.0	-9.0	-59.2%	-195.3	-173.3	-11.3%	-318.4	-275.0	-13.6%
Capex	125.0	125.0	0.0%	125.0	115.0	-8.0%	125.0	115.0	-8.0%

SEGMENTS:

Mobile Communications	291.6	275.8	-5.4%	389.2	326.9	-16.0%	567.1	415.1	-26.8%
YoY growth (%)	-5.6%	-10.7%	-508 bps	33.5%	18.5%	-1500 bps	45.7%	27.0%	-1870 bps
Automotive & Industrial	80.4	69.2	-13.9%	90.8	78.2	-13.9%	104.4	89.2	-14.6%
YoY growth (%)	14.8%	-1.1%	-1591 bps	13.0%	13.0%	-	15.0%	14.0%	-100 bps
Edge & Cloud AI	252.6	259.0	2.6%	300.6	336.8	12.0%	361.6	451.3	24.8%
YoY growth (%)	18.0%	21.0%	303 bps	19.0%	30.0%	1100 bps	20.3%	34.0%	1370 bps
Total Revenue	624.5	604.1	-3.3%	780.6	741.9	-5.0%	1,033.1	955.6	-7.5%
YoY growth (%)	5.5%	2.0%	-344 bps	25.0%	22.8%	-220 bps	32.3%	28.8%	-354 bps

Source: BofA Global Research estimates

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SOTP valuation

We lower our FY29E EBITDA multiple for Photonics from 45x to 25x given the recent derating in optical stocks and given uncertainty on Soitec's growth assumptions including in NPO/CPO. We apply a 10x FY29E EBITDA multiple to Soitec's other segments, contemplating peers and Soitec's strong market position in RF-SOI.

Exhibit 3: Photonics-SOI has the highest multiple and majority of EV in our SOTP

Soitec SOTP valuation

EUR mm	FY29E EBITDA	EV/EBITDA	EV	Per share
Mobile	146.4	10.0	1464.2	€ 41.0
Auto	31.5	10.0	314.6	€ 8.8
Edge AI ex-Photonics	51.9	10.0	518.9	€ 14.5
Photonics-SOI	107.3	25.0	2681.7	€ 75.2
Total	337.0	14.8	4979.4	€ 139.6
		Net debt	58.0	€ 1.6
		Market cap	4921.4	
		Share count (mm)	35.7	
		PO	€ 138.0	

Source: BofA Global Research estimates

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Price objective basis & risk

Soitec (SLOIF)

Our €138 PO is based on SOTP valuation due to the diverging growth profile of Photonics relative to Soitec's other segments. We apply a 25x FY29E EBITDA multiple for Photonics and 10x for the Mobile/Auto/Edge AI ex-Photonics segments based on the multiples of the peer companies of each segment with similar growth expectations.

Upside risks are 1) revenue growth coming in faster than we currently expect driven by faster adoption of Soitec's products and a stronger cyclical upturn in demand and 2) higher operational leverage leading to upside to our EBITDA margin forecasts

Downside risks are 1) slower adoption of Soitec's technologies than we expect, 2) valuation multiple compression in the event of rising interest rates, 3) weaker-than-expected smartphone demand, 4) disruption at Soitec or customers' production facilities, 5) cyclical weakening of demand trends and 6) development of new unforeseen technologies which may take share from Soitec's technologies.

Analyst Certification

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EMEA - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
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	ASM International N.V.	ASMXF	ASM NA	Didier Scemama
	ASML Holding N.V.	ASMLF	ASML NA	Didier Scemama
	ASML Holding N.V.	ASML	ASML US	Didier Scemama
	BE Semiconductor Industries N.V.	BESVF	BESI NA	Didier Scemama
	Infineon Technologies AG	IFNNF	IFX GY	Didier Scemama
	Infineon Technologies AG	IFNNY	IFNNY US	Didier Scemama
	Nokia	NOKBF	NOKIA FH	Oliver Wong
	Nokia	NOK	NOK US	Oliver Wong
	Nordic Semiconductor	NDCVF	NOD NO	Oliver Wong
	STMicroelectronics NV	STMEF	STMPA FP	Didier Scemama
	STMicroelectronics NV	STM	STM US	Didier Scemama
	Technoprobe S.p.A.	XMDDF	TPRO IM	Oliver Wong
	VAT Group AG	VTTGF	VACN SW	Oliver Wong
NEUTRAL				
	Soitec	SLOIF	SOI FP	Oliver Wong
UNDERPERFORM				
	ams Osram AG	AUKUF	AMS SW	Didier Scemama
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	Mycronic AB	MICLF	MYCR SS	Oliver Wong
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iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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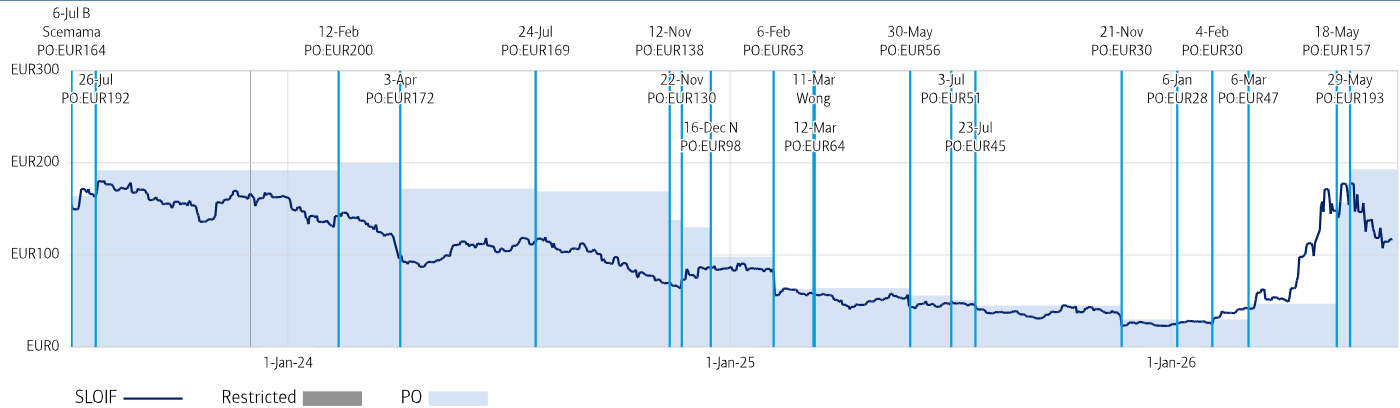
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Important Disclosures

Soitec (SLOIF) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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